

The Politics of Advanced Capitalism

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Overview: This upper-division course introduces undergraduates to the study of advanced capitalist economies in the contemporary world. What are the challenges facing advanced democracies in the twenty-first century? In what ways are the economies of Europe and the United States similar and in what ways are they different? Why do economic institutions vary between advanced economies and how does this variation affect growth, inequality, and responses to external shocks? Students will develop familiarity with contemporary debates in the field of comparative political economy and will write a research paper on a topic of their choice.

Requirements:

In-class midterm (week 7): multiple choice, short answer, and essay. 25% of course grade.

In-class final exam: multiple choice, short answer, and essay. 25% of course grade.

Initial research proposal (week 6): This is a two-page paper proposal. You should identify a policy in which the United States differs from a European country of your choice (the more specific the better). Sketch out three possible explanations for this variation. We will meet individually to discuss these proposals. 10% of course grade.

Research paper (week 12): This is a fifteen-page research paper in which you propose an explanation for the policy variation that you identified in your research proposal and provide evidence for this variation based on your own research. It is imperative that you address two alternative explanations for the variation you document and provide evidence that weighs against these explanations and supports your own. 30% of course grade.

Participation: active participation in class is expected and is worth 10% of your course grade. In this course, we will uphold the university's code of conduct and values regarding open intellectual inquiry and equal respect for all class members.

Electronic devices: Laptops are permitted for note-taking and for referring to course readings. Please be conscious of the fact that browsing the internet during class is distracting for the students sitting around you. If you plan to browse the internet during class time, expect to be called upon!

Plagiarism: Plagiarism is a serious breach of the University's code of conduct. It is assumed that you have carefully reviewed the University's policy on plagiarism. Your use of AI must adhere to the university's policy. Please note that you are unlikely to succeed on the midterm and final exam if you have not studied the readings in detail and thought about them yourself.

Week 1: Challenges of advanced capitalism (2 lectures).

Alvaredo, Facundo, Lucas Chancel, Thomas Piketty, Emmanuel Saez, and Gabriel Zucman. “The elephant curve of global inequality and growth.” *AEA Papers and Proceedings* 108 (2018): 103-108.

Oesch, Daniel. *Occupational Change in Europe: How Technology and Education Transform the Class Structure*. Oxford: Oxford University Press, 2013.

Yared, Pierre. “Rising government debt: Causes and solutions for a decades-old trend.” *Journal of Economic Perspectives* 33.2 (2019): 115-140.

Week 2: How national trajectories differ (2 lectures)

Hassel, Anke, and Bruno Palier. “Tracking the Transformation of Growth Regimes in Advanced Capitalist Economies.” In *Growth and Welfare in Advanced Capitalist Economies How Have Growth Regimes Evolved?* Ed. A. Hassel and B. Palier. Oxford: Oxford University Press, 2021.

Lupu, Noam, and Jonas Pontusson. 2023. “Introduction.” In *Unequal Democracies: Public Policy, Responsiveness, and Redistribution in an Era of Rising Economic Inequality*, eds. N. Lupu and J. Pontusson. Cambridge: Cambridge University Press.

Thelen, Kathleen. “The American precariat: US capitalism in comparative perspective.” *Perspectives on Politics* 17.1 (2019): 5-27.

Week 3: Comparing welfare states (2 lectures)

Esping-Andersen, Gøsta. *The three worlds of welfare capitalism*. Cambridge: Polity, 1990 (selections).

Danforth, Benjamin. “Worlds of welfare in time: A historical reassessment of the three-world typology.” *Journal of European Social Policy* 24.2 (2014): 164-182.

Garfinkel, Irwin, Lee Rainwater, and Timothy Smeeding. *Wealth and Welfare States: Is America a Laggard or Leader?* Oxford: Oxford University Press, 2010 (selections).

Blanchet, Thomas, Lucas Chancel, and Amory Gethin. “Why is Europe more equal than the United States?” *American economic journal: applied economics* 14.4 (2022): 480-518.

Week 4: Demand for social spending (2 lectures)

Cusack, Thomas, Torben Iversen, and Philipp Rehm. “Risks at work: The demand and supply sides of government redistribution.” *Oxford Review of Economic Policy* 22.3 (2006): 365-389.

Lamont, Michèle. 2000. *The dignity of working men: Morality and the boundaries of race, class, and immigration*. Cambridge, MA: Harvard University Press (selections).

Roemer, John, Woojin Lee, and Karine Van der Straeten. *Racism, Xenophobia, and Redistribution: Multi-issue Politics in Advanced Democracies*. Cambridge, MA: Harvard University Press, 2007 (selections).

Week 5: Skill formation systems (2 lectures)

Iversen, Torben, and John Stephens. “Partisan politics, the welfare state, and three worlds of human capital formation.” *Comparative political studies* 41.4-5 (2008): 600-637.

Culpepper, Pepper, and David Finegold. *The German Skills Machine: Sustaining Comparative Advantage in a Global Economy*. New York: Berghahn, 1999 (selections).

Häusermann, Silja, Michael Pinggera, Macarena Ares, and Matthias Enggist. “Class and social policy in the knowledge economy.” *European Journal of Political Research* 61.2 (2022): 462-484.

Week 6: Gender differences in the labor market (2 lectures)

Rosenbluth, Frances, and Torben Iversen. *Women, Work, and Politics: The Political Economy of Gender Inequality*. New Haven: Yale University Press, 2010 (selections).

Autor, David, David Dorn, and Gordon Hanson. “When work disappears: Manufacturing decline and the falling marriage market value of young men.” *American Economic Review: Insights* 1.2 (2019): 161-178.

Cortés, Patricia. “Immigration, household production, and native women’s labor market outcomes: A survey of a global phenomenon.” *European Economic Review* 158 (2023): 104545.

Week 7: Electoral cleavages under advanced capitalism (2 lectures)

Broz, J. Lawrence, Jeffrey Frieden, and Stephen Weymouth. “Populism in place: The economic geography of the globalization backlash.” *International Organization* 75.2 (2021): 464-494.

Hall, Peter, Georgina Evans, and Sung In Kim. *Political Change and Electoral Coalitions in Western Democracies*. Cambridge: Cambridge University Press, 2023.

Ansell, Ben, and Jane Gingrich. “The End of Human Capital Solidarity?” In *Who Gets What? The New Politics of Insecurity*, ed. M. Weir and F. Rosenbluth. Cambridge: Cambridge University Press, 2021.

Week 8: Labor market institutions and dualization (2 lectures)

Saint-Paul, Gilles. “The political economy of employment protection.” *Journal of political economy* 110.3 (2002): 672-704.

Margarita Estévez-Abe, Torben Iversen, and David Soskice. “Social Protection and the Formation of Skills: A Reinterpretation of the Welfare State.” In *Varieties of Capitalism*:

The Institutional Foundations of Comparative Advantage, eds. Peter Hall and David Soskice, 145-183. New York: Oxford University Press, 2001.

Häusermann, Silja, and Hanna Schwander. “Varieties of dualization? Labor market segmentation and insider-outsider divides across regimes.” In *The age of dualization: The changing face of inequality in deindustrializing societies*, ed. P. Emmenegger et al., 27-51. Oxford: Oxford University Press, 2012.

Week 9: Unions, wage-setting and competitiveness (2 lectures)

Hancké, Bob. *Unions, central banks and EMU: labour market institutions and monetary integration in Europe*. New York: Oxford University Press, 2013 (selections).

Dustmann, Christian, Bernd Fitzenberger, Uta Schönberg, and Alexandra Spitz-Oener. “From sick man of Europe to economic superstar: Germany’s resurgent economy.” *Journal of Economic Perspectives* 28.1 (2014): 167-188.

Johnston, Alison. “Always a Winning Strategy? Wage Moderation’s Conditional Impact on Growth Outcomes.” In *Growth and Welfare in Advanced Capitalist Economies: How Have Growth Regimes Evolved?*, eds. Anke Hassel and Bruno Palier. New York: Oxford University Press, 2021.

Week 10: Politics of taxation (2 lectures)

Cusack, Thomas R., and Pablo Beramendi. “Taxing work.” *European Journal of Political Research* 45.1 (2006): 43-73.

Ganghof, Steffen. *The Politics of Income Taxation: A Comparative Analysis*. Colchester: ECPR Press, 2006 (selections).

Hope, David, Julian Limberg, and Lukas Haffert. “The hidden cost of tax regressivity at the top.” *British Journal of Political Science* 56 (2026).

Week 11: Credit, debt, and demand (2 lectures)

Ferguson, Niall, and Moritz Schularick. ”‘Chimerica’ and the global asset market boom.” *International Finance* 10.3 (2007): 215-239.

Crouch, Colin. “Privatised Keynesianism: An unacknowledged policy regime.” *The British Journal of Politics and International Relations* 11.3 (2009): 382-399.

Charles, Kerwin Kofi, Erik Hurst, and Matthew Notowidigdo. “The masking of the decline in manufacturing employment by the housing bubble.” *Journal of Economic Perspectives* 30.2 (2016): 179-200.

Week 12: Political economy of monetary integration (2 lectures)

Sandbu, Martin. *Europe's Orphan: The Future of the Euro and the Politics of Debt*. Princeton: Princeton University Press, 2017 (selections).

Tober, Tobias. "The launch of EMU and German export interests." *Socio-Economic Review* 21.3 (2023): 1657-1678.

Week 13: Financial Crisis and Response (2 lectures)

Walter, Stefanie, Ari Ray, and Nils Redeker. *The Politics of Bad Options: Why the Eurozone's Problems Have Been So Hard to Resolve*. Oxford: Oxford University Press, 2023 (selections).

Hübscher, Evelyne, and Thomas Sattler. "Austerity and populism." *Annual Review of Political Science* 29 (2026).